

PROBLEM STATEMENT AUCTION - GUIDELINES

1. Auction Credits

- Every team starts the auction with 120 credits.
- Credits may be used only to bid on Problem Statements.
- Credits spent on a winning bid are deducted permanently and cannot be recovered, refunded, or reused.
- Because there are no top-ups, teams should plan their spending across the whole auction, not just the first domain they like.

2. Auction Format

- Problem Statements are auctioned domain-wise: one domain is open for bidding at a time.
- Each domain contains 7 Problem Statements.
- The auction runs across 5 domains in total, opened one after another.
- Once every Problem Statement in a domain has been auctioned, or the domain is locked (Section 6), the next domain opens.
- Organizers retain final authority over the order in which domains are presented.

3. How Bidding Works

- The auctioneer announces one Problem Statement at a time for bidding.
- Active teams place bids using their available (undeducted) credits.
- A team cannot bid more credits than its current balance.
- The highest valid bid wins the Problem Statement.
- A win is official once all three are true:
 1. The auctioneer confirms the bid as the highest valid bid.
 2. The auction organizers record the winning bid.
 3. The winning credits are deducted from the team's balance.
- All bids are final once placed, and a won Problem Statement is never re-auctioned.

4. Credit Outcomes After Each Round

- Winning team: the full winning bid is deducted from its balance.
- Every other team that bid but did not win: keeps 100% of its credits and remains active.
- Only the winning bid amount is ever deducted; losing bids cost nothing.

5. One Team, One Problem Statement

- Each team may win only one Problem Statement for the entire auction.
- The moment a team wins, it is removed from all further bidding, even if it still has credits left.
- Leftover credits after a win cannot be used, transferred, or applied toward another Problem Statement.
- This cap guarantees that every participating team gets a fair shot at securing a Problem Statement.

6. Domain Locking Rule

To keep Problem Statements distributed evenly across domains rather than concentrated in one, each domain has a cap on how many teams may win from it. Once that cap is reached, the domain locks and bidding moves on.

- The cap is set relative to the number of teams still active in the auction (teams that haven't already won elsewhere), not the original headcount.
- As soon as the cap number of active teams have won Problem Statements from a domain, that domain locks for all remaining teams.
- The auction then moves to the next available domain.

Worked example: 10 teams start the auction. 2 teams win Problem Statements from Domain A. Domain A now locks, and no further bidding is allowed there. The remaining 8 teams (which haven't won yet) move on to bid in another open domain.

Note: because locking depends on which teams are still active, domain availability can differ from team to team depending on when each one wins its Problem Statement.

7. Domain Rotation

- The auction moves from domain to domain to keep the distribution of wins balanced.
- A domain closes to further bidding once it hits its permitted team limit (Section 6).
- The next available domain then opens for bidding.
- Auction organizers have final authority over the sequence in which domains are opened.

8. General Rules

- A team can never bid more credits than it currently has available.
- A team that has already won a Problem Statement cannot place further bids.
- Credits spent on a winning bid cannot be recovered or refunded under any circumstance.

- Once a Problem Statement is won, it is retired and will not be re-auctioned.
- All bids, once placed, are final.
- In the event of any dispute, the Auction Committee's decision is final and binding.

9. Strategic Tips for Teams

- Review every domain and Problem Statement before bidding begins; you can't undo a win.
- Avoid spending all 120 credits early; strong Problem Statements may appear in later domains.
- Reserve aggressive bidding for Problem Statements that best match your team's strengths.
- Keep a credit buffer until you've actually secured a Problem Statement you want.
- Watch domain-lock progress; a domain you're interested in may close sooner than expected if other teams win there first.

Quick Reference Summary

Rule	Details
Starting credits	120 per team
Problem statements per domain	7
Total domains	5
Problem statements per team	Maximum 1
Winning bid	Credits permanently deducted
Losing bid	Credits fully retained
After winning	Team exits the auction
Domain lock trigger	Set number of teams have won from that domain
Disputes	Auction Committee's decision is final